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5. State whether the following are capital, revenue and deferred revenue.

   i) Legal fees paid to the lawyer for acquiring a land ` 20,000.

   ii) Heavy advertising cost of ` 12,00,000 spent on introducing a new product.

   iii) Renewal of factory licence ` 12,000.

   iv) A sum of ` 4,000 was spent on painting the factory.

   (**Answer**: Capital: i, Revenue: iii, iv Deferred revenue: ii)

6. Classify the following receipts into capital and revenue.

   i) Sale proceeds of goods ` 75,000.

   ii) Loan borrowed from bank ` 2,50,000

   iii) Sale of investment ` 1,20,000.

   iv) Commission received ` 30,000.

   v) ` 1,400 wages paid in connection with the erection of new machinery.

   (**Answer**: Capital: ii, iii, v Revenue: i, iv)

7. Identify the following items into capital or revenue.

   i) Audit fees paid ` 10,000.

   ii) Labour welfare expenses ` 5,000.

   iii) ` 2,000 paid for servicing the company vehicle.

   iv) Repair to furniture purchased second hand ` 3,000.

   v) Rent paid for the factory ` 12,000

   (**Answer**: Capital: iv Revenue: i, ii, iii, v)